FTAs' LUXE TOUCH

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The slew of new free trade agreements (FTAs) is set to reshape the market for imported luxury goods, from premium cars and Swiss watches to jewellery, wines and spirits. Trade deals with the UAE, EFTA, and the UK, along with the expected India-EU FTA, offer varying degrees of tariff relief that could make select luxury imports more affordable

The EU Tariff Shift

Under the proposed India-EU Free Trade Agreement, India will grant its most ambitious concessions to date—covering 97.5% of total traded value. Once in force, 30% of tariffs will drop on day one, while the remaining cuts will be phased over 5-10 years to protect local industries

OLD TARIFF RATE | NEW TARIFF RATE (POST-FTA)



Luxury Cars (CBUs)
70%-110% | 10%
Phased down; initial cut to 40% in 2026. Limited to 250,000 units/year



Wines
150% | 20%-30%
Premium wines (~$ 25+) drop to 20%; mid-range to 30%



Spirits (Whisky, etc.)
150% | 40%
Phased reduction over 7 years



Machinery & Electrical
Up to 44% | 0%
Mostly eliminated at entry or within 5-10 years



Chemicals
Up to 22% | 0%
Most duties scrapped immediately upon implementation



Pharmaceuticals
11% | 0%
Full elimination phased over 5-7 years



Olive Oil
45% | 0%
Duty-free access over a five-year staging period

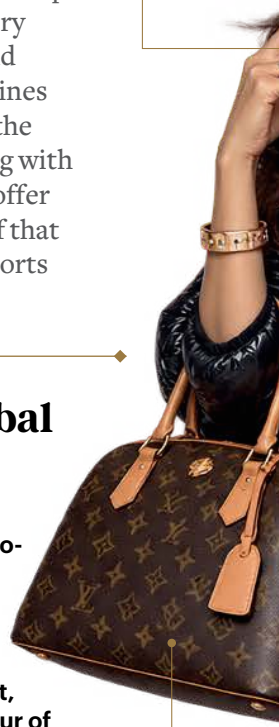


Processed Foods
Up to 50% | 0%
Includes chocolates, pasta, bread, and pet food



Aircraft & Avionics
Up to 11% | 0%
Elimination phased over up to 10 years

CBU: COMPLETELY BUILT UNIT



Top Global Luxury Giants

French conglomerates continue to dominate the global luxury market, occupying four of the top five spots, led by LVMH Moet Hennessy Louis Vuitton SE

MARKET CAP

LVMH *France*
$213.7 bn

Kering *France*
$24.2 bn

Dior *France*
$84.8 bn

$15.32 BN
India's gold imports from the UAE in FY26, nearly three times the FY22 level of $5.34 billion since the India–UAE CEPA was signed in February 2022

$12.1 BN
India's luxury market size in 2025; the global luxury market is valued at $1.5 trillion